

ADVANCED MICROECONOMICS II

COURSE CODE: ECO-11122

OBJECTIVES:

The main objective in this course is to study the diverse macroeconomic models of *equilibrium* which contemplate the interaction of various agents. The course will emphasize the applications of these models rather than the theory behind them. It will be assumed that the student knows the individual election models of consumers and producers.

General Equilibrium models will be studied in the first part of the course. These models are based on the assumptions of perfect competition. They analyze the implications of consumer and producer interaction in several industries simultaneously. These models have great implications in dynamic macroeconomics, international commerce public finance and private finance.

In the second part of the course we will study models characterized by a small number of economic agents in which perfect competition does not apply. In these models, individuals recognize that their decisions are determining an equilibrium and therefore they have a strategic value.

In order to be able to understand these models, some game theory studies will be needed. Nevertheless, the study of this theory is not the main objective in this course. An introduction to the subject will be given, with the final objective of exclusively covering that information which will be useful for this course.

The course will include *asymmetric information* models. These are based on the assumption that each agent has different information.

TOPICS AND SUBTOPICS

- I. GENERAL EQUILIBRIUM
 - 1.1 Pure exchange model
 - 1.2 2x2 production model
 - 1.3 Production and consumption
 - a) Representative agent
 - b) General model
 - 1.4 Intertemporal equilibrium
 - 1.5 Financial markets

- II. Game theory
 - 1.1 Introduction to strategic analysis
 - 1.2 Normal static games
 - 1.3 Dynamic games
 - 1.4 Asymmetric information games
 - 1.5 Mechanism design. Principle and agent

LEARNING ACTIVITIES:

Detailed study of the recommended bibliography.

COURSE EVALUATION

Homework	10%
Participation	30%
Final Exam	60%

BIBLIOGRAFÍA:

Por la naturaleza del curso, no habrá un sólo libro de texto. Utilizaremos tres de forma obligatoria (Indicados con *) que pueden consultar en la biblioteca. Los otros textos se utilizarán ocasionalmente y pueden servir también como lectura alternativa.

Equilibrio General:

- *Variant, H. [1992], *Microeconomic Analysis*, Third edition, W.W. Norton.
- Mas-Colell, A., Whinston, M. y Green, J. [1995], *Microeconomic Theory*, Oxford University Press.
- Layard, P. y Walters, A. [1978], *Microeconomic Theory*, Mc Graw Hill.

Teoría de Juegos:

- *Gibbons, R. [1992], *Game Theory for Applied Economists*, Princeton University Press.
- *Dixit, A. y Nalebuff, B. [1991], *Pensar Estratégicamente*, Antonio Bosch.
- Mas-Colell, A., Whinston, M. y Green, J. [1995], *Microeconomic Theory*, Oxford University Press.
- Gardner, R. [1995], *Juegos para Economistas y Empresarios*, Antonio Bosch.